THAI NICHE PERFUME HOUSE

BITTERSWEET

You wear it for you first

Subject: BIS608 Digital Corporate Strategy

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Executive summary

BitterSweet is a Thai niche perfume house that hand-blends small-batch fragrances built on a single material, tea, carried from green and faintly bitter, through the dry taste of strong tea, to a light warm finish. We sell to unisex aged 24 to 30 in urban Thailand who buy scent for themselves rather than as a gift, at 450 THB for 10 ml, a price at which trying something is an ordinary decision rather than a considered purchase.

The opportunity. The Thai fragrance market is almost entirely warm, sweet and comforting: jasmine, rice, coconut, sandalwood. Established houses, the newer niche wave, and dozens of Instagram indies all stand on that side of the room. Green, raw and dry are empty.

The bet stated honestly. That the space is empty because nobody has taken it, rather than because nobody wants it. Those two explanations fit the same evidence, and no amount of desk research separates them. Thirty strangers smelling the range blind does. That test runs in the first quarter, before serious money is committed, and it can stop the company.

What we are asking of the plan. Roughly 1,000,000 THB of the founder's own capital, no outside investment, nine months from registration in August 2026 to a first sale in May 2027, and a business that pays one person properly by the end of year two. Not a business that scales in the usual sense: the addressable group is 8,000 to 16,000 people, and the plan says so rather than inflating it. The 2031 vision is about making the green category understood in Thailand, not about holding a large market share.

The four things that would end this**,** all closable early and cheaply: the Thai FDA requiring licensed premises rather than a home bench (one phone call, and it moves the cash requirement by 200,000 THB); the name being unavailable in trademark class 3 (one database search); the green thesis returning indifference rather than division (one blind study); and the cost of a bottle exceeding 169 THB, which would remove the margin entirely (one real batch).

Corporate Identity

BITTERSWEET
You wear it for you first

Company Profile:

Company Name:	**BitterSweet Co., LTD**
Business structure:	Limited Company
Registered Capital	THB 1,000.000
Registration Date	30 August 2026
Address:	Bangkok Thailand
Website:	www.bittersweet.com
Telephone:	02-959-7645 / 097-1493951
Email Address:	Contact@Bittersweet.com
Facebook Page:	Bitter Sweet
Line OA:	Bitter Sweet
Instagram:	Bitter Sweet

Mission - *why we exist*

> ***We exist so that a person can have one honest moment of their own each morning. We make fragrances worn for the wearer, not for the room.***

Brand line: ***You wear it for you first.***

We exist to **protect** and elevate the few moments in a day that belong entirely to the individual.

Every morning follows its own rhythm. Between waking, preparing, and stepping into the world, there is a moment when a person chooses how they want to feel. **When they reach our fragrance**, we believe that moment is not about performance, approval, or attracting attention. **It is about certainty, comfort, and self-connection.**

We do not create a fragrance to fill a room or win compliments. We create fragrances for the wearer. Our products are designed to become a dependable ritual, a quiet act of self-definition that helps people move through life feeling more like themselves.

Our mission is to craft fragrances that transform everyday routines into personal moments of confidence, presence, and authenticity, because the most important impression is the one you make on yourself.

Vision - *what we aspire to be*

> By 2031, BitterSweet is the reason a Thai buyer in their twenties can say "I chose green" and be understood. We are the fragrance house that made scent-for-yourself an ordinary idea in Thailand, and the brand people name when they want to smell like nobody else.

This names a change in the market rather than in us, and it is falsifiable;

Values

	Value	What it means in practice
Differentiate	Craftsmanship	Every bottle is **blended by hand**; no contract factory. Control over quality is treated as non-negotiable.
	Signature discipline *(Green-to-warm)*	Every scent of perform **must follows the same green-to-warm structure**. Consistency over novelty.
	Presence	The **three seconds of applying scent** are treated as the product's real moment, not the bottle itself.
	Honesty	**Tell the truth about what is inside**, ingredients and claims are stated plainly; the brand never promises more than the product can do.
	Accessibility	A first bottle should be easy to try. We sell a discovery set of three 2 ml vials at 350 THB, and the price of the set is taken off the first full bottle. The full size is 10 ml at 450 THB, small enough that trying us stays an ordinary decision. This is a choice about how easy it is to try, not a claim to be the cheapest brand on the shelf.

Strategies Alignment

Strategic alignment is checked on three levels: internal fit between resources, capabilities and the organisation; external fit with the market, technology and competitors; and future fit, meaning the new skills the team has to build. Each is explained in below.

Internal Analysis

Internal fit (resources, capabilities and the organization). to explains how our internal readiness supports the brand position; you wear it for you first.

- Organization and structure: a flat, founder-led structure that keeps work and decisions moving quickly.
- Capabilities (agility in R&D): hand-blending in small batches lets us control scent quality ourselves and release a new collection quickly, without waiting for a factory.
- Resources and signature: sticking to the green-to-warm scent structure is our main resource. It gives us a unique formulation that competitors find hard to copy as a complete house.
- Cost structure: a tight cost structure lets us price at 450 THB for 10 ml, a price at which a customer can decide to try without thinking twice.

External fit (market, technology and competitors), to explains how the strategy answers the outside environment and the gap in the market.

- Market and social trends: it matches urban buyers aged 24 to 30 who want a private moment and buy perfume for their own comfort, not as a gift and not to attract other people.
- Competitors (scent type gap): most Thai niche brands sell warm, sweet or spa-herbal scents. Moving into fresh tea leaf and green plant notes means playing in a space nobody is holding.
- Technology and channels: a digital-first channel through Instagram, together with a scent quiz, suits Thai social commerce, which is among the strongest in the world.

Future fit (new skills and preparation), explains how we prepare our people and our systems for growth and for risk. It draws on the Learning and Growth perspective and on the backup plan.

- Regulatory and unit-cost literacy: the team builds knowledge of cosmetic law, such as FDA notification, and of cost per unit, so the business can grow legally and without losing money.
- Bilingual brand voice and storytelling: we build the skill of describing scent in words, so buyers in Thailand understand what "I chose green" means in their own market.
- Reproducible hand-blending (SOPs): we set up a formula log and a blending manual, so the production team can hold the scent standard steady even if demand rises quickly in the Green Boom scenario.

McKinsey 7S

Element	Current stage of BitterSweet
Strategy	Take the green and tea position that nobody in the Thai market is holding, while almost every other brand sells warm and sweet scents. We compete on difference, not on price: three scents, 10 ml only, sold first on Instagram and then at craft-market booths where people can smell them. The 450 THB price makes trying easy, but it is not a low-cost strategy.
Structure	**Flat and founder-led.** Seven people work across main areas (**Brand & Finance, Sourcing & Production, Product & IT, and Marketing & Sales**) Every decision passes the founder, which keeps the brand voice and the scent standard the same. It's ideal for startups or small teams where the founder still oversees multiple functions and collaboration happens laterally rather than through rigid chains of command.
Systems	We blend by hand in small batches and **keep a formula and batch log**, so any bottle can be traced back to the oil it came from. **We post on Instagram** on a set schedule and run booth logistics for craft fairs. Three systems are still missing: the FDA notification, a customer list, and stock tracking. Until the notification is filed, we cannot produce, ship or sell anything.
Shared values	**Craftsmanship, signature discipline** (green to warm in every scent), presence, honesty, and accessibility. These sit at the centre of the model.
Style	**Democratic**, with transformational elements. The founder sets the direction through the brand vision, and the team is free to test scent ideas and packaging designs.
Staff	Seven people work part-time next to study or other jobs, across the same four areas as the structure: brand and finance, sourcing and production, product and IT, and marketing and sales. • **Allocation.** Two key roles — the perfumer, who approves every batch, and the booth lead, who turns scent into sales. If the perfumer is unavailable, production stops. • **Monetary compensation.** No market salaries yet. The **founder and perfumer** earn from the salary line (240k → 480k → 600k THB over three years). The **other five members** share post-tax profit, so it doesn't appear as a cost. • **Non-monetary compensation.** Flexible hours around study and jobs. Everyone can test ideas and see quick results from customer feedback. • **Development**. No new hires until repeat purchase is proven. The next step is training a second scent judge to reduce key-person risk.
Skills	• **Scent formulation and evaluation**: understanding top, middle and base notes, and judging batch quality. • **Packaging design and sourcing:** choosing packaging that is safe, attractive and protects the scent.

	• **Sensory marketing and storytelling:** describing a smell in words so people can imagine it online. • **Cosmetic regulation and cost control:** FDA notification, cost per bottle, and pricing.

7S Alignment

Where the seven fit. The hard elements support the strategy. A flat structure and hand blending let a three-scent house move from idea to shelf without waiting for a factory, which is what a narrow, **different-by-design launch needs.** Shared values and skills point the same way, craftsmanship and formulation judgement are what make the claim of being the only tea house real rather than a slogan.

Where they do not fit. Two problems are visible now. First, the strategy is digital-first, but we have no customer list and no stock system, so the channel that should carry the launch has no memory of who smelled what. Second, signature discipline is a shared value, yet the systems and staff that deliver it depend on one person blending by hand, which our own SWOT calls a batch-consistency weakness. Both can be fixed before launch: file the FDA notification and set up a simple customer list in the first quarter, and write the blending SOP with a reference sample kept from every batch, so the scent standard has a second judge. Until these two are closed, we have a strategy the organisation cannot reliably deliver.

Where we play

Area	We do	We do not
Geography	Thailand, urban, starting Bangkok	Export, tourist channels, cross-border
Category	Personal fine fragrance, Eau de Parfum	Home fragrance, candles, body care, gifting
Segment	Unisex 24 to 30, early career, buying for themselves	Gift buyers, collectors, teenagers
Scent type	Green, tea, dry, sharp herbal	Gourmand, vanilla, sweet florals, aquatic
Price	450 THB for 10 ml 350 THB for Discovery set price (3 x 2 ml)	Mass under 200 THB; premium above 2,500 THB
Channel	Direct: Instagram, then craft-market booths	Department stores, marketplace price competition, resellers

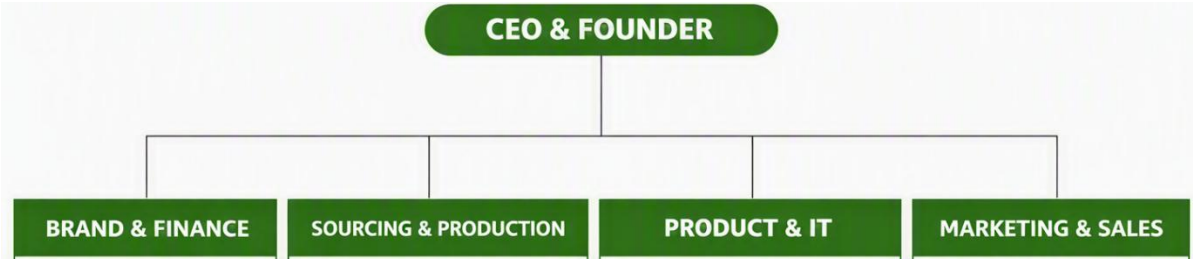
We are not a gift brand. That removes the Thai festive-season sales cycle from our calendar and makes revenue flatter and harder to spike. We accept it, because a brand selling you wear it for you cannot also sell -buy it for your mother without one of the two becoming a lie.

How we win

- **A position nobody is defending.** We do not need to be a better jasmine than Journal; we need to be the only tea. This is the load-bearing assumption, and it is tested first.
- **One material, taken seriously.** A tea leaf genuinely contains all three movements: green before brewing, dry once brewed, the way strong tea feels, lightly sweet on the last sip. The house signature is a property of the material, not a story stretched over unrelated products. A competitor can copy the green; copying a coherent single-material house means abandoning their own.
- **The founder's hands are visible.** Most small Thai Instagram fragrance brands share the same contract manufacturers. Making the product is something competitors cannot buy at the same price, but it must be *shown*, not asserted, because "we really do make it" is what everyone says.
- **Explicitly not sources of advantage:** price, ingredient-quality claims, and Thai heritage storytelling. The first is a race we lose. The second is unverifiable to the buyer. The third is the most crowded story in the Thai niche wave, and using it means competing on who tells the same story better, which rewards budget and time.

Structure

- A **flat organizational structure**, The CEO & Founder is at the top. Four divisions — Brand & Finance, Sourcing & Production, Product & IT, and Marketing & Sales — sit directly beneath, all on the same level.
- This setup encourages direct communication, faster decision-making, and shared responsibility across divisions.
- It’s ideal for startups or small teams where the founder still oversees multiple functions and collaboration happens laterally rather than through rigid chains of command.



Value Chain

Primary Activities

- **Inbound logistics.** Our inputs are perfume oils, cosmetic alcohol, 10 ml glass bottles, sprayers, caps, boxes and labels. When a delivery arrives, we check it. The most important check is smell. Every new batch of oil must match the sample we approved. All three of our scents are built on the same structure, so if one oil shifts, all three shift with it. We then store the oils away from heat and light until we blend.

- **Operations.** This is where we make the perfume. We weigh the oils, mix them to our formula, and let the blend rest so the notes settle. Then we filter it, fill the 10 ml bottles, fit the sprayers and add the labels. Each label must show the ten-digit notification number issued by the Thai FDA. We also record which materials went into each batch, so we can find the cause if something goes wrong. This work has to happen in a place that passes the Thai FDA check, and a home kitchen does not pass. MITH runs 127 scents made by outside perfumers. We run three and blend them ourselves, so we move slower on range, but we control the smell directly.
- **Outbound logistics.** Finished bottles are kept away from heat and light, because both damage perfume. We pack each order, so the glass does not break. Perfume contains alcohol, so we have to agree on the rules with the delivery company before we ship. We also keep spare boxes and wrap in stock, because packing runs out faster than we expect.
- **Marketing and sales.** We sell in two steps. First, we go to craft fairs, where people can smell the perfume. Then we use Instagram to stay in touch with the people who smelled it. Our first product is a small set of all three scents: Fresh Leaf, Cilantro and Last Sip. The customer pays for the set, and we take that amount off the price of a full bottle. A full 10 ml bottle sells at 450 baht. Sampling matters for us because our main scent, Cilantro, is one that people either love or hate, and a photo cannot carry a smell. Nearly half of buyers (46.7%) need to smell a perfume several times before they decide, and 68% of online buyers want a sample first.
- **Service**. For us, service is mostly advice before the sale. We help customers choose which of the three scents suits them. If a bottle arrives broken, we replace it. We also say honestly when a scent may not suit someone. We have not added gift wrapping or engraving.

Support Activities

- **Firm infrastructure.** This covers company registration, FDA notification, the trademark, accounting and pricing. Notification costs 1,000 baht for the company code and 1,500 baht for each scent, so 5,500 baht for three scents. It is slow paperwork, and everything else waits on it. Until it is done, we cannot produce, ship or sell.
- **Human resource management.** We are a team of seven, working across four areas: brand and finance, sourcing and production, product and IT, and marketing and sales. Two skills matter most. One is the person who creates the scent and checks each batch. The second is the people at the booth, because a strong scent needs someone who can offer it with confidence.
- **Technology.** Our most useful system is the record of formulas and batches. It keeps the scent the same and helps us trace a problem back to the oil it came from. The second is the customer list we build at fairs. Thailand is the strongest social commerce market in the world (88%), and Instagram here reaches 20.6 million users who skew female and premium. A list of people who have already smelled our scent is worth more to us than the shop software. The online shop and the scent quiz come third. We buy those, and every competitor has them too.

- **Procurement.** Procurement is how we choose suppliers and agree on prices. Most oils come from abroad, so the price moves with the exchange rate. We also order in small amounts, so we pay more per bottle than a large brand does. Materials and filling take the largest share of our price, and the oil is the biggest line in it. For bottles and boxes, we can shop around. For perfume oils we should stay with one supplier and keep an approved sample, even if it costs a little more. A bottle is not part of our identity, but the smell is.

Willingness to pay and share of value

A 10 ml bottle sells at 450 baht. People who have smelled the scent are willing to pay that price because they cannot buy the same smell anywhere else. Brandenburger and Stuart (1996) split the value a business creates into three shares. The buyer's share is the gap between willingness to pay and our price. Our share is the gap between our price and our cost. The supplier's share is the gap between what we pay and what the supplier gives up. Materials and filling take the largest part of our cost, so our share can grow in only two ways: raise willingness to pay through sampling and a scent people cannot find elsewhere or buy oils on better terms without changing the smell.

Cost Structure

Pricing Unit

Bottle price (10 ml)	450 THB	*a price people try without thinking twice*
Discovery set price (3 x 2 ml)	350 THB	

Cost per bottle (10 ml)

Bottle, sprayer, cap	35 THB	*At 300-500 units. MOQs may force a larger commitment*
Box	18 THB	
Label	5 THB	
Concentrate, ml per bottle	2 ml	*Drives longevity AND cost. The same decision*
Concentrate, cost per ml	28 THB	*Widest uncertainty in the model: 15-60 THB/ml*
Alcohol and water	5 THB	
Labour, minutes per bottle	12 minutes	*Timed on batch 001, not estimated*
Labour rate per hour	200 THB	*Costed whether or not it is drawn*
Waste and loss (contingency)	6%	*Fill loss, rejects, breakage*

Cost per discovery set

3 vials with sprayers	**27 THB**	
3 labels	6 THB	
Box	20 THB	
Concentrate, ml per set	1.2	
Alcohol	3 THB	
Labour, minutes per set	15 minutes	
Waste and loss	6%	

Cost per order - ship direct

Payment processing	**3%**	
Shipping material	12 THB	
Postage absorbed	20 THB	*Partial, the rest is charged to the customer*

Unit economics, all the prices are estimated

List	Bottle 10 ml	Discovery set	Remark
Packaging	58 THB	53 THB	
Concentrate	56 THB	34 THB	Set uses the same concentrate cost per ml
Alcohol	5 THB	3 THB	
Labour	40 THB	50 THB	
Waste and loss	10 THB	8 THB	
Total Cost	169 THB	148 THB	
Price	450 THB	350 THB	
Gross profit	281 THB	202 THB	
Gross margin	63%	58%	
Less cost per order (shipped direct)	-46 THB	-43 THB	
Contribution, direct	**236 THB**	**160 THB**	*The number the business actually runs on*
Contribution, at a booth	268 THB		*No postage, no shipping materials*

Activity System Map



Figure 1: BitterSweet activities system map

VRIO

VRIO is a test of what a company owns. asks four questions about each resource, and the order matters, because each question is only reached if the one before it is answered yes.

- **Valuable**: does it help us take an opportunity or deal with a threat?
- **Rare**: do few other companies have it?
- **Inimitable**: Is it hard or expensive for others to copy?
- **Organized**: are we set up to make money from it?

The answers give five possible results. If a resource is not valuable, it is a disadvantage. If it is only valuable, we have parity, which means we are the same as everyone else. Valuable and rare gives a temporary advantage. Valuable, rare and hard to copy, but with no organisation behind it, gives an unused advantage: the resource could protect us, but it earns nothing yet. Only all four together give a sustained advantage.

Our resources

Resource	V	R	I	O	Result
Our scent structure: green opening, tea in the middle, light warm finish, led by Cilantro	Y	Y	Y	Not yet	Unused advantage
We own the formula and test it ourselves	Y	Y	Partly	Not yet	Unused advantage
Our position: you wear it for you first	Y	Partly	N	Y	Temporary advantage
Price of 450 baht for 10 ml	Y	N	N	Y	Parity
Trial set, scent quiz and online shop	Y	N	N	Partly	Parity
Content and storytelling on social media	Y	N	N	Y	Parity
Small batch production	Y	N	N	Partly	Parity
FDA notification and a licensed site	Y	N	N	Not yet	Disadvantage now
A team of seven across four areas	Y	N	Partly	Partly	Parity
A group of customers who have smelled the scent	Y	Partly	Partly	Not yet	Not a resource yet

Y = Yes, N = No, and "not yet" = we have not done it.

Nothing in the list passes all four tests today, which is normal for a company that has not sold a bottle yet.

Explanation of each row.

- **Our scent structure, Unique scent & formula** It is valuable because 29% of Thai buyers say they cannot find a scent that fits them, and green and tea notes are growing in 2026. It is rare because the five best known Thai brands, Karmakamet, Panpuri, Erb, Thann and Harnn, hold about 94% of that group and all sit on the same spa and herbal line. None of them leads a perfume with cilantro, cucumber or unripe melon. It is hard to copy for a business reason, not a technical one. Any perfumer could make a green accord, but a big brand does not want to sell a scent that half the market dislikes. MITH has 127 scents and a target of 200 to 250 million baht, so copying us would work against its own plan. What we do not have is the organisation. We have no FDA notification, no licensed site, no trademark and no shop open yet. The advantage is real on paper and earns nothing today.
- **One limit to be clear about.** Tea by itself is not rare for us. MITH already sells five tea perfumes and starts at 399 baht, the same shelf as ours. What is rare is the green vegetable opening, with tea as the finish.
- **Our position ("wear it for you").** 71.1% of niche buyers buy for themselves and 55% will pay more for a perfume that helps them feel calm, so the position is valuable. It is

not hard to copy. A message is the cheapest thing to copy in this market, so it buys us time rather than protection.

- **Price and the online tools.** MITH starts at 399 baht and Butterfly at 329 baht, so our price opens the door but does not make us different. Trial sets, quizzes and CRM are software that everyone buys. We need them, and they do not set us apart.
- **FDA notification.** Every brand we compete with has already done this, and we have not. Until it is done it is a disadvantage, and it costs only 5,500 baht for three scents.

What this tells us

- We have a **strong but untapped advantage** in our unique scent structure, while other factors keep us at parity or disadvantage until organizational basics (like FDA approval) are in place and that is normal at this stage.
- Our scent structure is the one thing that is hard to copy, and it is idle because of paperwork, not because of the product.
- The work to fix it is cheap: notification, a licensed site, and the trademark.
- Rarity does not last. If a large brand launches a green line, our rare row becomes parity, so we should test this table again every six months.

External (Environmental) Analysis

PESTEL or STEEPLE

Factor	Implication for BitterSweet
Political (P)	Thai law does not regulate fragrance as its own category, but three policy areas still affect us. • **Import duty & exchange rates** affect cost of aroma chemicals as most oils come from abroad. • **Government support for small producers/soft power** brands impacts grants, fair slots, export route later on. • **Political stability influences** consumer spending on non-essentials. **Implication**: politics does not control our licence to sell, but it does control landed cost and access to channels, so we treat it as a cost risk, not a legal barrier
Economic (E)	Two economic forces decide whether this business works. • **Our inputs are imported,** Oils and alcohol priced abroad; a weaker baht raises costs, and small orders mean no bargaining power. • **spending power,** at 450 THB for 10 ml, buying is meant to stay an easy decision, which protecting sales in downturns but leaving no buffer if costs rise. **Implication**: spending power is one of the two axes in our scenario matrix, and a cost above 169 THB per bottle removes the margin completely, which is why the executive summary lists it as a risk that can end the company.

Social (S)	• **Trend**: Urban 24–30 year olds are shifting from perfume as a gift to perfume for self-care. • **Preference**: Buyers are also more comfortable with natural and less processed personal care, which suits a brand that avoids added vanilla and heavy sweetness. Implication: This cultural shift is the demand condition our whole position rests on, and how fast it happens is the first axis of our scenario matrix.
Technological (T)	• **Low-cost direct selling** through Instagram and TikTok Shop makes a digital-first launch possible without retail investment. • **AI tools for content** and scent matching are becoming a normal part of customer experience. **Implication**: Tech lowers entry barriers, but since every competitor has the same tools, so our advantage has to sit in **unique scent and storytelling**, not in the channel.
Environmental (E)	• **Buyers increasingly** ask for natural ingredients, refillable packaging and traceable sourcing. • **Hand-blending** avoids the footprint of mass contract manufacturing, but it exposes us to changes in natural raw materials. • **Implication**: refillable packaging is a later decision, not a launch feature. What we commit to at launch is traceable sourcing, which our batch log already supports.
Environmental (E)	• **Buyers increasingly** ask for natural ingredients, refillable packaging and traceable sourcing. • **Hand-blending** avoids the footprint of mass contract manufacturing, but it exposes us to changes in natural raw materials. • **Implication**: refillable packaging is a later decision, not a launch feature. What we commit to at launch is traceable sourcing, which our batch log already supports.
Legal (L)	• **Regulation**: Perfume counts as a cosmetic in Thailand and must notify to the Thai FDA before sale, with a 10-digit notification number on every label. • **Production** must happen in premises that pass the FDA check, Not a home kitchen • **Labelling**: Ingredient and INCI labelling must be correct. • **International standard** practice adds a second layer: IFRA standards limit certain aroma materials even is Thai law says nothing. • **A trademark search** in class 3 must be clear before commercial use • **Implication**: the notification controls all revenue, and the premises rule moves our cash need by about 200,000 THB. Both are listed as the first two risks that can end the company.

Factor	Implication for BitterSweet
Ethical (E)	We promise to tell the truth about what is inside the bottle, which is a higher standard than the law asks for. Three rules follow. 1. We only claim what a blend can really do, so we use no wellness or mood-changing language. 2. We use natural and clean claims only where we can show evidence, because a buyer cannot check them and they are cheap to say. 3. Also, we speak about self-definition, not social approval, because a brand that sells you wear it for you first cannot sell insecurity at the same time. Implication: These rules limit reach compared to competitors with stronger claims, but the trade-off protects brand integrity.

From this scan, **two factors carry both high impact and high uncertainty,** so we take them forward as the axes of the scenario matrix: how fast the market accepts green scent and the self-first idea (**Social**), and the spending power of the 24 to 30 group (**Economic**).

The other factors are treated as conditions that apply in all four scenarios, and they feed the Threats column of the SWOT: **online price competition, imported input costs, and FDA and IFRA compliance.**

Porter's Five Forces

Force	Intensity	Rationale
Threat of new entrants	Medium	Low **capital needed** to start on Instagram; but Thai FDA notification, sourcing a consistent green-tea-leaf accord, and building a believable niche story are harder to copy quickly than a generic "sweet" scent.
Bargaining power of buyers	High	**Many alternatives at similar price points**, buyers compare openly on social platforms and switch easily between indie sellers.
Bargaining power of suppliers	Medium	**Small-batch volumes mean limited negotiating** use with aroma-chemical and bottle/packaging suppliers
Threat of substitutes	High	Body mists, roll-on oils, established niche houses (MITH, Butterfly Thai perfume, Journal, Siam 1928) and international niche imports all compete for the same "something different" buyer.
Competitive rivalry	High	Crowded field across three tiers (heritage brands, Thai-heritage niche wave, Instagram indies --see section competitor analysis), though rivalry is partially reduced because almost none of them occupy the green, bitter and self-first space.

Competitor analysis

The following competitor analysis evaluates BitterSweet's strategic position within the dynamic Thai niche perfume market. To identify our market gap and competitive advantages, we benchmarked BitterSweet against four prominent local fragrance brands: MITH, Butterfly Thai Perfume, Journal, and Siam 1928. This analysis examines key business dimensions, including brand positioning, target audience, unique selling propositions (USP), pricing strategies, and distribution channels. By comparing these factors, we aim to validate the viability of BitterSweet's unique "Scent-for-yourself" concept and our highly accessible pricing strategy within the current competitive landscape.

Analysis Factors	BitterSweet	MITH	Butterfly Thai Perfume	Journal	Siam 1928
Brand Overview (Our Brand)	A niche perfume house emphasizing hand-blended, Small-batch craftsmanship	A mass-niche Thai brand offering accessible luxury	A Thai brand renowned for highly realistic, distinctly Thai scents	A premium Thai brand focused on clean beauty and natural extraction.	A niche brand blending Thai art, culture, and high-end perfumery.
Target Audience	Urban unisex aged 24 to 30 who buy fragrances for personal enjoyment, not as gifts.	Young/adults seeking international quality scent at approachable prices.	Students, young professionals, and tourists looking for unique and memorable scents.	Mid-to-high income professionals and foreign tourists *(especially from China).*	Fragrance collectors and enthusiasts of luxury art and complex scents.
Brand Positioning	Scent-for-yourself, Created for personal comfort, minimal yet authentic.	Democratic Luxury: Counter-brand quality fragrances at accessible price points.	Old factory Memories: Novel, hyper-realistic scents evoking Thai memories.	Natural Luxury & Storytelling: Natural botanical fragrances with strong cultural storytelling.	Exotic Asian Artistry: Haute perfumery inspired by Thai poetry and mythology.
Scent Profile & USP	USP: Tea-based scents with a consistent Green-to-Warm structure; 100% hand-blended.	USP: Vast variety of complex scents crafted by world-class perfumers.	USP: Uniquely Thai scents (e.g., Mango Sticky Rice, Holy Basil) using a coconut oil base.	USP: Formulated with essential oils and a natural base; long-lasting and safe for the skin.	USP: Highly complex, mysterious scents (e.g., ancient incense) in handcrafted ceramic bottles.

Analysis Factors	BitterSweet	MITH	Butterfly Thai Perfume	Journal	Siam 1928
Price & Packaging (Our Brand)	450 THB / 10 ml (Minimalist, highly portable)	399 to 2,800+ THB / 10 ml & 100 ml (Elegant, international style)	329 to 1,590 THB / 10 ml & 60 ml (Simple glass bottle, contemporary Thai design)	1,200 to 3,900 THB / 15 ml & 100 ml (Thick glass, premium minimalist design)	2,500 to 4,500 THB / 50 ml (Intricate, highly distinctive ceramic bottles)
Distribution Channels	Online (D2C) & Urban Pop-up stores.	Flagship Store (CentralWorld), department store kiosks, online.	Department stores, tourist destinations, E-commerce.	Luxury flagship stores, department store counters, E-commerce.	Online, specialty niche perfume boutiques, art exhibitions.
Strengths & Weaknesses	Strengths: Low barrier to entry (impulse buy pricing); strong "Scent-for-yourself" narrative. Weaknesses: Limited scent variety (tea-focused); limited production capacity (small-batch).	Strengths: Wide variety of choices; broad customer base. Weaknesses: Mass scale dilutes the "niche" exclusivity.	Strengths: High potential for viral marketing; very affordable. Weaknesses: Some scents are too conceptual for daily wear.	Strengths: Strong brand image; highly successful in the tourist market. Weaknesses: Higher price point compared to average local brands.	Strengths: High collectible value; internationally awarded. Weaknesses: High price point; scents may be unapproachable for beginners.

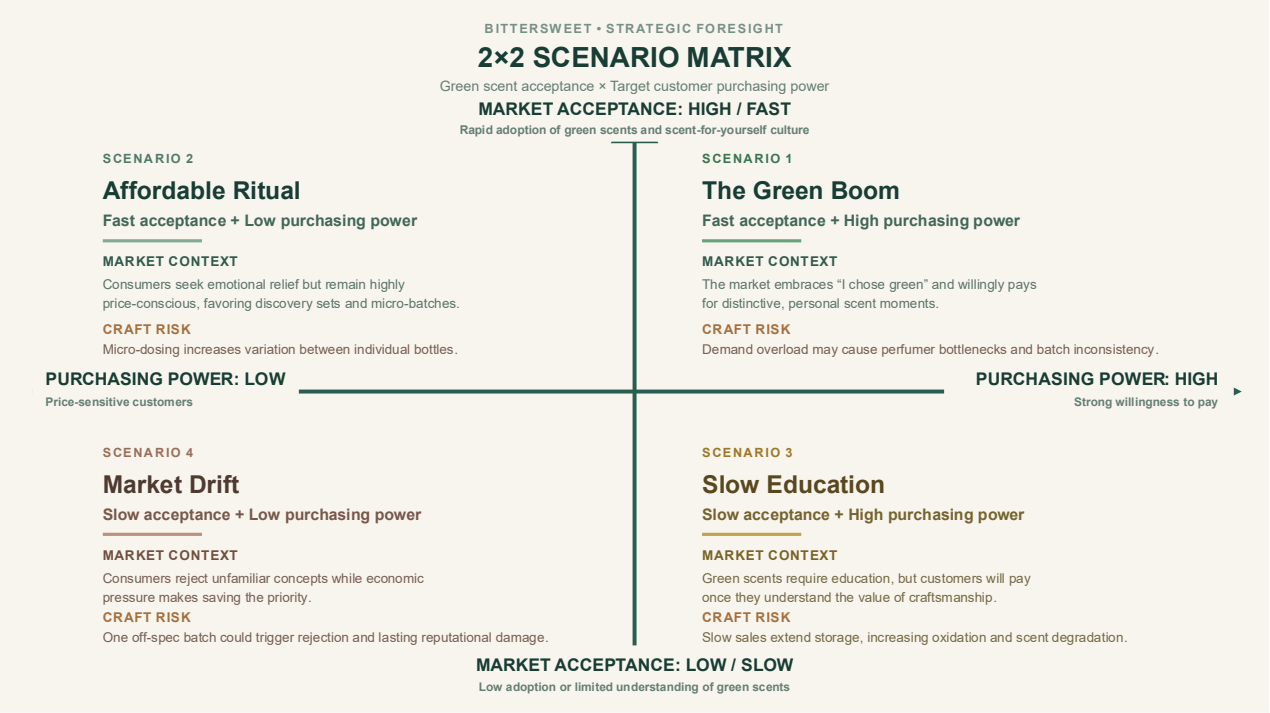
Strategic foresight (platform-ecosystem analysis is optional)

1. **Identify driving forces**
   - **Consumer behaviour**: people now give more weight to their own feelings, to living honestly with themselves, and to building a dependable daily ritual.
   - **Market structure:** local niche perfume is growing, and there is a gap in the market for tea and green plant notes (green to warm).
   - **Economic factors:** how much spare money people aged 24 to 30 have decides whether they buy perfume for their own use.

2. **Find critical uncertainties:** We screen the driving forces for the ones with both high impact and high uncertainty, and use them as the axes of the future. They are:
   - **Factor 1:** how fast the market accepts green scent and the scent-for-yourself idea (fast acceptance versus slow acceptance).
   - **Factor 2:** the spending power and economic conditions of the target group (growth and high spending power versus a tight economy and low spending power).

3. **Build the 2x2 Matrix:** We cross the two critical uncertainties.
   The vertical axis is how fast the market accepts green scent and the scent-for-yourself idea (fast versus slow). The horizontal axis is the spending power of the target group (high versus low). We also connect each world to our internal craft risk, which is the perfumer's accuracy and the risk of scent drifting between batches. This gives four scenarios.
   - **The Green Boom (fast acceptance plus high spending power):** the market grows quickly, buyers understand what "I chose green" means, and they are willing to pay for a private moment.
     Craft risk: demand rises above what one perfumer can blend by hand. Rushing the work risks the note ratio drifting from batch to batch in order to deliver on time.
   - **Affordable Ritual (fast acceptance plus low spending power):** buyers want perfume as comfort in a tight economy, but they are careful with money.
     Craft risk: the brand has to move to discovery sets and micro-batches, so the perfumer measures and fills in very small amounts. Small-scale measuring makes the scent ratio in each bottle more likely to vary.
   - **Slow Education (slow acceptance plus high spending power):** the market still sees green scent as unusual and needs time to understand it, but buyers can pay if they value the craft.
     Craft risk: even when the perfumer controls the formula perfectly, slow sales leave blended stock sitting in storage. Long storage risks oxidation and scent decay.
   - **Market Drift (slow acceptance plus low spending power):** the market slows down, people do not open up to new ideas, and saving money comes first.
     Craft risk: with weak demand, a single batch that falls outside specification would be rejected immediately and would damage the brand's reputation for expertise, which is hard to rebuild.





4. Write scenario narratives

- **The Green Boom:** BitterSweet reaches its 2031 vision earlier than planned, but new competitors copy the same style of scent. The brand wins on honesty and on the discipline of keeping the scent structure.

- **Affordable Ritual**: the 450 THB price for 10 ml becomes the main strength, because it stays an ordinary decision that customers can make without much thought.
- **Slow Education:** the brand works hard to communicate the line, you wear it for you first, and uses craft and handmade production to attract the small group that enjoys something new.
- **Market Drift**: growth is slow and unclear. The brands that survive are the ones that control cost. BitterSweet would focus on keeping the existing customers who treat perfume as morning comfort.

5. **Stress-test the strategy**
   - We test the BitterSweet strategy for strength in every scenario.
   - Robust strength: the 450 THB price and the 10 ml size hold up well. They work in a booming market and in a drifting one.
   - Point to watch: the policy of hand-blending every bottle without a factory. In the Green Boom scenario, fast growth could leave us unable to produce enough, so we need a backup plan that protects quality, which is non-negotiable.

Four step and where it glows

1 Define a clear future vision	2 Analyze the gap	3 Set backward milestones	4 Convert to today's action plan
*By 2031, **"I chose green"** is a phrase people understand, and BitterSweet is the first brand they name.*	Measure the gap between being a small niche brand today and defining a scent category in the future.	In five years (2029): the green category is widely known. In three years (2027): a hand-blending system that can scale.	Act now: launch the 10 ml size at 450 THB and communicate the line, "*you wear it for you first.*"

Backcasting "BitterSweet"

2031 The vision	2029 Milestone	2027 Milestone	2026 Start now
Leader in Thai tea-note niche perfume. *people use the phrase **"I chose green"** naturally.*	The language of green-to-warm scent is established. a loyal customer base aged 24 to 30; first store opens.	Supply chain and hand-blending are stable a community of daily morning users exists; pop-up booths run at events such as Zapp on Sale.	First product on sale at 10 ml for 450 THB; content built around you wear it for you first; hand-blending quality under control.

Analyse the gap first: the market does not yet understand green scent, hand-blending limits how much we can produce, and there is no category language yet. Then plan backward.

Corporate Strategy Formulation

SWOT Analysis

Strengths	Weaknesses
• Unique Scent Formulation: Full in-house control over the fragrance-making process, setting the brand apart from mass-market perfumes and allowing scents to be tailored instantly to a specific brand concept. • Agility in R&D: New formulas can be tested and Limited-Edition collections launched quickly, without going through complicated approval processes. • Flexible Production Costs at Any Scale: Small-batch production is possible, helping manage cash flow and reduce the risk of excess inventory. • Direct Storytelling: Since the perfumer understands the origin of every scent note, the brand can communicate emotion and narrative through content authentically, connecting with buyers on a deeper emotional level.	• **Low Brand Awareness:** As a new brand, it takes time and marketing spend to build credibility on par with established name brands. • **Limited Scent-Sampling Channels:** Selling online presents the challenge of customers not being able to smell the fragrance in person before deciding to buy • **Low Economies of Scale:** Ordering packaging and raw materials in small batches means higher per-unit costs for bottles and spray caps compared to larger brands. • **Batch Consistency:** Hand-blending or small-batch production can make it harder to maintain consistent scent profile and concentration across batches, compared to large-scale automated manufacturing
Opportunities	**Threats**
• The Rise of Niche & Artisanal Fragrances: Younger consumers (Gen Z and Millennials) are seeking out one-of-a-kind scents as a form of self-expression. • Growth of E-Commerce & Social Commerce: Channels like TikTok Shop, Instagram, and live streaming give brands fast, effective ways to tell their story and build buzz. • Market for Gifts and Personalized Products: There's strong demand (and high value) in fragrances bought as gifts for special occasions, as well as customized scent orders. • Clean & Non-toxic Fragrance Trend: Consumers increasingly prioritize safe, non-irritating ingredients and transparency in how products are made.	• **High Competition in the Online Market: Many** new Thai perfume brands and dupe perfumes have emerged, driving a price war. • **Volatility in Imported Raw Material Costs:** High-quality fragrance oils and premium-grade alcohol are mostly imported, making them vulnerable to exchange rate fluctuations and shipping costs. • **Regulations and Safety Standards:** Cosmetic registration requirements (FDA Thailand) and international standards (such as IFRA) are strict and come with compliance and certification costs. • **Fast-Changing Consumer Behaviour:** Scent trends can shift quickly with the seasons and social media buzz.

TOWS Matrix

	Strengths (S) • Unique Scent Formulation • Agility in R&D • Flexible Production Costs at Any Scale • Direct Storytelling	**Weaknesses (W)** • Low Brand Awareness • Limited Scent-Sampling Channels due to selling online • Low Economies of Scale • Batch Consistency
Opportunities (O) • The Rise of Niche & Artisanal Fragrances • Growth of E-Commerce & Social Commerce • Market for Gifts and Personalized Products • Clean & Non-toxic Fragrance Trend	**SO Strategies** • **Artisanal Scent Positioning**: Use storytelling content on social media to show that every scent is blended in house, and target customers who look for a scent that reflects who they are**.** • **Personalized Discovery:** Sell a discovery set of all three scents in 2 ml sizes, paired with a scent quiz, so a customer can find the one that suits them before buying the 10 ml bottle.	**WO Strategies** • **Sample-to-Full-Size Campaign:** Lower the barrier to buying online by selling an affordable trial set, and give a discount code for the full amount when the customer returns to buy the 10 ml bottle. • **Pop-up Scent Bar:** Host booths and blending workshops where customers can smell the scents in person, which builds awareness faster than online content alone.
Threats (T) • High market competition and price war • Volatile raw material costs • Strict FDA and IFRA regulation • Fast-Changing Consumer Behaviour	**ST Strategies** • **Value-over-Price Strategy:** Avoid the price war by competing on quality, on how long the scent lasts, and on the complexity of the scent structure. • **Certified Safety Assurance:** Show the ingredient standards and the FDA notification, which builds a level of trust that small competitors selling unregistered perfume cannot match.	**WT Strategies** • Lean Batch & Pre-order: Use a pre-order system or sell in limited batches for new scents, to reduce inventory risk and manage raw material costs. • Strategic Sourcing Partnerships: Establish long-term purchasing agreements with trusted suppliers for fragrance oils and packaging, to lock in prices and maintain consistent quality. • Batch Discipline: Write a blending SOP and keep a reference sample from every batch, so a second person can check the scent standard before a batch is released. This answers the batch-consistency weakness and gives us an honest answer when a customer or a regulator asks how quality is controlled.

Strategy Map and Balanced Scorecard

The strategy map reads bottom-up: capability investments in Learning & Growth enable better Internal Processes, which improve the Customer experience, which in turn drives financial results, all in service of the vision, "you wear it for you first."

Strategy map: cause and effect

- Financial: which drives trial purchase, repeat purchase
  - F1 Positive contribution margin per bottle
  - F2 Repeat revenue over 40%
- Customer: which builds trust in scent consistency and a self-first brand relationship
  - C1 Be the only green/tea house people can name
  - C2 Make trying it low risk
  - C3 Turn wearers into describers
- Internal Process: enables consistent hand-blended batches and reliable Instagram/booth fulfilment
  - P1 Batch consistency and honest capacity
  - P2 A sampling engine
  - P3 Content that carries a smell you cannot smell
- Learning & Growth: build formulation know-how and content/digital skill
  - L1 Reproducible hand-blending
  - L2 Regulatory and unit-cost literacy
  - L3 A bilingual brand voice

Balanced Scorecard

	Objective	Measure (KPI)	Target	Initiative
Financial	F1 Positive contribution margin per bottle	Measured cost per bottle from an actual batch, including waste and labour	Within 5 per cent of the modelled cost, measured six months after launch	Packaging & Unit Cost
	F1 Positive contribution margin per bottle	Contribution margin per bottle after the cost of the sampling that produced the sale	At least 45 per cent, 31 May 2027 (provisional)	Financial model and Price lock
	F2 - Prove repeat-purchase demand as the signal for scaling	Repeat purchase rate within 90 days	At least 20 per cent of first-time buyers reorder within 90 days	Track reorders explicitly as the trigger for the larger-bottle phase 2
Customer	C1 Be the only green/tea house people can name	Brand recall in category,	Top of mind in the target segment	Distinct scent language
	C2 Make trying it low-risk	Sample then Purchases conversion rate (%)	10 per cent, to be confirmed after the first booth season	Define conversion benchmark

	Objective	Measure (KPI)	Target	Initiative
	C3 Turn wearers into describers	Referral / word of mouth rate	Rising share of new customer via referral code	Sharable scents, description language
Internal process	P1 Batch consistency and honest capacity	Batches completed per month; batch-to-batch scent variance	Defined monthly batch capacity document established and met	Standard operating procedure for hand blending
	P2 A sampling engine	Samples distributed per month, cost per sample	Scalable, low cost per sample	
	P3 Content that carries a smell you cannot smell	Engagement on scent description content	Content consistency communicate scent	Content template / booth event to get people for describing scent
Learning and Growth	L1 Reproducible hand-blending	Document blending process and staff trained	100% of follow Document process	Blending manual Training program
	L2 Regulatory and unit-cost literacy	FDA notification, Unit cost model accuracy	Full compliance, accurate cost model	Regulatory trains to staff, build uni-cost model / spreadsheet
	L3 A bilingual brand voice	Thai-language content coverage	100% of key content in both Thai and English	Hire / train for Thai copy writing, brand voice guide

How we read the strategy map and balance scorecard.

- L1 leads to P1, then to C1, then to F1

  If we cannot reproduce a batch, we cannot be a house anyone names, because "the one that smells like nobody else" fails the moment the second bottle smells different from the first. Consistency is not a quality-control chore here; it is the precondition of the whole position.

- L2 leads to P1 and P2, then to F1 and F3.
  Regulatory and cost literacy sound like admin. They are not: the FDA notification gates every baht of revenue, and unmeasured unit cost is how a 400 THB product turns out to cost 380 THB to make. Both are Learning & Growth because today nobody in the company knows them.
- L3 leads to P3, then to C2 and C3.
  The bilingual voice exists to solve the sampling and word-of-mouth problems. A customer can only describe the scent to a friend if we have given her the words, in the language she will use, which is Thai, in which our own brand name is a trap.
- P2 leads to C2, then to F2.
  The sampling engine is across. It converts an unsmellable Instagram audience into skin contact, and skin contact into a first purchase that is a decision rather than a gamble

Backup Plan / Fallback Plan

The BitterSweet backup plan is therefore built as four scenarios that match the 2x2 matrix, and each one is tied to a measure in the Balanced Scorecard, so the switch is pulled as soon as a number falls outside its limit.

Scenario 1: The Green Boom (fast acceptance plus high spending power)

- Context and risk: demand rises above what the perfumer can blend by hand. Rushed measuring risks the scent drifting between batches.
- BSC Trigger Switches:
  - Order backlog above 20 per cent for two weeks in a row.
  - Batch-to-batch scent variance (KPI P1) above the agreed limit.
- Fallback actions:
  - Numbered batch drops and pre-order: never reduce blending accuracy. Limit daily output to what the perfumer can really do, and move to pre-order rounds with numbered batches, which also protects the value of the craft.
  - Semi-automated digital dispensing: give the perfumer a micro-scale digital dispenser for the main formula, to reduce workload, work faster and remove human error.
  - Dual sourcing of core ingredients: sign a second supplier for perfume oil and alcohol immediately, and hold three months of stock so production does not stop.

Scenario 2: Affordable Ritual (fast acceptance plus low spending power)

- Context and risk: customers like the scent but the economy is tight, so they avoid the full 10 ml bottle. We produce discovery sets more often, and measuring at small scale by hand makes the scent more likely to vary.
- BSC Trigger Switches:
  - Sales of the full 10 ml bottle below 30 per cent of target, or conversion from sample to full bottle (KPI C2) below 8 per cent.
  - Material loss (fill loss and waste in the cost structure table) above 8 per cent because of small-bottle filling.
- Fallback actions:
  - Pivot to a discovery-first model: make the discovery set (3 x 2 ml) the main source of revenue, with a voucher for the full amount back when the customer returns to buy a 10 ml bottle.
  - Master-batch formulation protocol: have the perfumer blend a medium master batch of concentrate instead of mixing vial by vial, so the note ratio is identical before filling into 2 ml vials.
  - Retention sample verification: keep a reference sample of the concentrate from every sub-batch, so the perfumer can smell and compare against the standard whenever there is any doubt.

Scenario 3: Slow Education (slow acceptance plus high spending power)

- Context and risk: the perfumer holds an excellent standard, but buyers do not yet connect with green vegetable and fresh tea leaf notes. Slow sales leave blended perfume in storage, where light and heat damage it.

- BSC Trigger Switches:
    - Engagement on scent-description content (KPI P3) more than 40 per cent below benchmark.
    - Repeat purchase (KPI F2) below 10 per cent within 90 days.
    - Finished stock held for more than 60 days after blending.
- Fallback actions:
    - Perfumer-led sensory workshops and pop-ups: move budget from online advertising to booths and scent sessions, where the perfumer explains the notes and customers try the scent on skin at craft fairs and lifestyle cafes.
    - Controlled climate storage: move finished stock into dark, temperature-controlled storage to protect the perfume from decay.
    - Bridge scent promotion: lead temporarily with Last Sip, the warm tea scent that is easier to like, ahead of Cilantro, to lower the barrier for new buyers.

Scenario 4: Market Drift (slow acceptance plus low spending power)

- Context and risk: pressure from outside and inside at the same time. The market is closed and money is tight. If the perfumer makes an error, or one batch passes QC when it should not, trust collapses and the 1,000,000 THB of capital is at risk.
- BSC Trigger Switches:
    - Contribution margin negative for two months in a row.
    - Returns or complaints about scent not matching the standard above 3 per cent.
- Fallback actions:
    - Formula freeze and QC root cause analysis: quarantine the affected stock immediately, stop blending, and have the perfumer trace back through the batch log to find which supplier lot caused it.
    - Repurpose to functional home fragrance: take batches that fall outside skin-application specification but are still safe and pleasant, dilute and reformulate them as room spray or reed diffuser, and turn stock into cash.
    - B2B bespoke formulation: the perfumer takes custom scent work for weddings, event gifts or boutique hotels, with 50 per cent paid in advance to keep cash flow stable.
    - Emergency bundle liquidation: sell remaining stock as gift sets or mystery boxes together with other craft products, to recover cash without discounting the single bottle and damaging its image.

Digital Technology Policy

As an early-stage, founder-led niche brand, BitterSweet's technology policy should minimize fixed cost and build capability only where it is genuinely differentiating (the brand story and customer relationship), while borrowing or buying commodity infrastructure everywhere else.

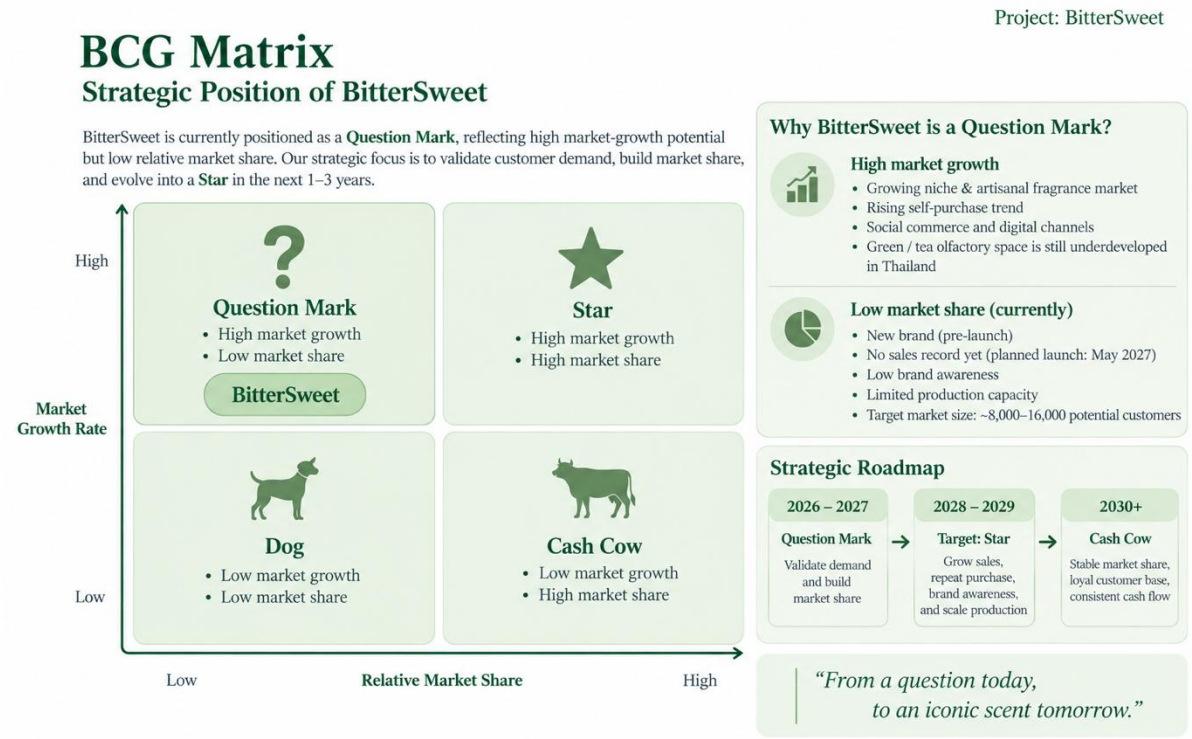
Technology	Decision	Rationale
Web app (D2C storefront)	Buy	**Use a hosted e-commerce platform (e.g. Shopify-class tool)** rather than custom development. Storefront is not a point of difference at this stage; speed to market and low maintenance are.
Mobile app	Borrow / Defer	**No dedicated app at launch. We rely on Instagram, LINE**, and marketplace apps (TikTok Shop) that customers already have installed. Revisit only if repeat-purchase volume justifies the retention cost of a proprietary app.
TV app	Not applicable / Defer	**No strategic rationale for TV** at this stage or scale; not a channel the target 24 to 30 self-purchasing segment relies on.
Cloud computing	Buy	Use a mainstream cloud-hosted platform (bundled with the e-commerce/CRM tools chosen above) rather than operating own infrastructure, **standard, low-differentiation, and avoids upfront capital.**
Artificial intelligence	Borrow / Buy (selectively)	**Borrow AI capability already embedded in marketing/content and e-commerce tools** (caption drafting, ad targeting, basic persoalized recommendations) rather than building custom AI. Buy a lightweight scent-matching quiz tool only once traffic volume justifies it, **do not build proprietary AI in-house.**
Social media	Borrow (platform) / Build (content & voice)	**Borrow the platforms themselves (Instagram, Facebook, LINE),** do not build owned social infrastructure. Build the content and brand voice in-house, since the storytelling ("you wear it for you first," the anti-cliche stance)
Quantum computing	Not applicable	No believable use case at current scale
Blockchain	Not applicable	No current need for blockchain-based provenance/authentication.

Policy principle

Build only where the technology is the brand's actual point of differentiation (content, formulation know-how, customer relationship); buy commodity software that lets the brand launch fast and cheaply; borrow platforms and embedded capability wherever the underlying user base already exists (Instagram, TikTok Shop, Shopee, LINE). This keeps fixed technology cost close to zero at pre-revenue stage, in line with the brand's own stated value that "good feelings should not be expensive", the same discipline applied to the cost side of the business.

Reference:

BCG Matrix



BitterSweet sits in the question mark box: the market is growing, but our share is close to zero. Niche and artisanal fragrance is expanding, buyers increasingly purchase scent for themselves, and the green and tea space in Thailand is still open. At the same time we are a pre-launch brand with no sales record, low awareness, limited hand-blending capacity, and an addressable group of only 8,000 to 16,000 people.

A question mark can go two ways: invest and become a star, or stay small and become a dog. Our plan chooses the first, in three steps. In 2026 and 2027 we test demand and build share. In 2028 and 2029 we grow repeat purchase, brand awareness and production capacity to reach star. From 2030 the aim is a stable share and steady cash flow, which is what turns a star into a cash cow. The first step is the one that decides the rest, which is why the blind test and the first booth season sit at the front of the plan.

This appendix sets out the financial feasibility of the plan: a three-year revenue forecast, a pro-forma income statement, a break-even analysis, and capital budgeting from the founder's 1,000,000 THB.

Financial Feasibility and Projections (3-Year Forecast & Capital Budgeting)

The financial analysis uses the founder's starting capital of 1,000,000 THB with no outside borrowing. It assumes a target group of 8,000 to 16,000 people in Bangkok and other cities, sold through direct online channels and craft fairs.

1. Revenue and volume forecast (three years)

We sell through two main channels: online, direct to consumer through Instagram and TikTok Shop, and craft fairs and pop-ups. The product line is a 10 ml bottle at 450 THB and a discovery set at 350 THB.

- *Year 1 (2027, an eight-month launch phase):* the focus is building a customer base and sampling.
    - 10 ml bottles: 2,400 bottles, an average of 300 per month.
    - Discovery sets: 1,600 sets, an average of 200 per month.
    - Year 1 revenue = (2,400 x 450) + (1,600 x 350) = 1,640,000 THB
- *Year 2 (2028, growth and repeat purchase phase):* the market starts to understand green scent and repeat purchase reaches 20 per cent or more.
    - 10 ml bottles: 4,800 bottles, an average of 400 per month.
    - Discovery sets: 2,400 sets, an average of 200 per month.
    - Year 2 revenue = (4,800 x 450) + (2,400 x 350) = 3,000,000 THB
- *Year 3 (2029, established niche brand):* a loyal customer base and sales at the level of a working niche house.
    - 10 ml bottles: 7,200 bottles, an average of 600 per month.
    - Discovery sets: 2,800 sets, an average of about 233 per month.
    - Year 3 revenue = (7,200 x 450) + (2,800 x 350) = 4,220,000 THB

2. Pro-forma income statement (three years)

Based on variable cost per unit: 169 THB for a 10 ml bottle, giving a gross profit of 281 THB, and 148 THB for a discovery set, giving a gross profit of 202 THB. Shipping and payment fees are deducted separately.

Item (THB)	Year 1 (8 months)	Year 2 (12 months)	Year 3 (12 months)
Total revenue	**1,640,000**	**3,000,000**	**4,220,000**
Cost of goods sold (materials, blending labour, packaging)	(642,400)	(1,166,400)	(1,631,200)
Gross profit	**997,600** (60.8%)	**1,833,600** (61.1%)	**2,588,800** (61.3%)
Fulfilment and transaction fees	(180,000)	(324,000)	(450,000)
Net contribution margin	**817,600**	**1,509,600**	**2,138,800**
Fixed operating expenses:			
Blending space and temperature-controlled storage rent	(120,000)	(180,000)	(200,000)
Craft fairs and pop-up events	(120,000)	(180,000)	(240,000)
Digital marketing and content	(160,000)	(240,000)	(300,000)
FDA notification, trademark and accounting system	(35,000)	(20,000)	(25,000)
Founder and perfumer salary (target from year two)	(240,000)	(480,000)	(600,000)
Other costs, cloud and website	(30,000)	(45,000)	(50,000)
Total fixed costs	**(705,000)**	**(1,145,000)**	**(1,415,000)**
Profit before tax (EBT)	**112,600**	**364,600**	**723,800**
Corporate income tax (SME rate, first 300,000 THB exempt)	0	(9,690)	(63,570)
Net profit after tax	**112,600**	**354,910**	**660,230**

3. Break-even analysis

Sales mix assumption: the 10 ml bottle is 60 per cent of units, with a contribution of 236 THB, and the discovery set is 40 per cent, with a contribution of 160 THB.

- Weighted average contribution per unit: (0.6 x 236) + (0.4 x 160) = 205.6 THB
- Annual break-even, using Year 2 as the normal year:
    - Fixed costs per year = 1,145,000 THB
    - Units needed per year to break even = 1,145,000 / 205.6 = 5,569 units per year, or about 464 units per month.

- Break-even revenue per year = 5,569 x 410 = 2,283,290 THB, where 410 THB is the weighted average selling price from a mix of 60 per cent bottles at 450 THB and 40 per cent sets at 350 THB.

4. Capital Budgeting: Cash Flow, Payback Period & NPV / IRR

- Initial outlay at year 0: 1,000,000 THB, used for preparing premises that pass the FDA check, digital blending equipment, the first batch of raw materials, and a cash reserve.
- Discount rate (WACC): 10 per cent, the minimum return that reflects the risk of a niche craft start-up.
- Free cash flow to the firm:

Period	Cash flow (THB)	Discount factor at 10 per cent	Present value (THB)
Year 0 (2026)	**(1,000,000)**	1.0000	(1,000,000)
Year 1 (2027)	180,000	0.9091	163,638
Year 2 (2028)	420,000	0.8264	347,088
Year 3 (2029)	750,000	0.7513	563,475
Net present value (NPV)			+74,201 THB

- Investment appraisal results:
- Point to check before submission: the cash flows used for the NPV (180,000 / 420,000 / 750,000 THB) do not match the net profit in the income statement (112,600 / 354,910 / 660,230 THB). If the net profit figures are used directly, the NPV becomes negative, at about minus 108,000 THB. The team has to choose one of two ways forward: state the items added back, such as depreciation and changes in working capital, or recalculate the NPV from net profit and explain the result.

    - Net present value (NPV): +74,201 THB. A positive value indicates that the project earns more than its cost of capital.
    - Internal rate of return (IRR): 13.85 per cent, above the 10 per cent minimum.
    - Payback period: 2.53 years, which falls in the second quarter of year three counted from the first sale.
    - Return on investment (ROI at the end of year three) = cumulative net profit of 1,127,740 THB divided by the 1,000,000 THB invested, which is 112.8 per cent.